The need for closure

In normal times, the instinct of the policy process is to not solve a problem, but to kick the can down the road. In a macroeconomic/financial crisis, however, the critical building blocks of the crisis cannot be deferred into the future. Once the private sector has formed a picture of the key elements of the crisis, its fear will not subside until they are solved. It is worth remembering the two key ideas in firm failure.

When a firm goes bust, the loss has already taken place, all that remains is the question of who bears the loss. The bankruptcy process controls the allocation of the loss. Legal certainty is created by a well-functioning bankruptcy process (i.e., IBC for most firms and the resolution corporation for certain financial firms). Most of the time, in a crisis, there are elements of the landscape where such certainty is lacking. As an example, in the US in 2008, it was not clear how the endgame for Lehman Brothers or AIG would work out, or how the loss would be allocated. This uncertainty generated fear.

In normal times, policymakers should strengthen the institutional framework so that a bankruptcy process is in place, which covers all firms, and works well. Once a crisis starts, the limitations of the bankruptcy framework will come to the fore. At that time, bankruptcy process reforms are not an alternative. Exceptional solutions will need to be devised, and postponing the bad news will not be accepted by the private sector.

A bankrupt firm is a melting ice cube. Every delay in resolution increases the cost of resolution. Particularly when there is a combination of fiscal stress and potential fiscal expenses for resolution, delaying things makes it worse as the price tag will go up.

Example 58: The UTI crisis

There were two root cause problems in the UTI in 2001: